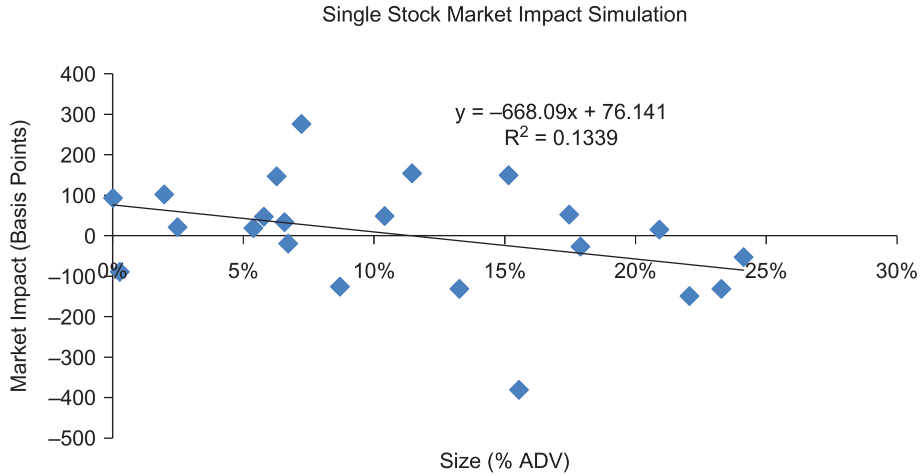

■ **Figure 12.6** Single Stock Market Impact Simulation.

still encountered difficulty. With a more sophisticated model it would be even more difficult to obtain accurate results. But if we simulate data for a universe of stocks (e.g., for 500 stocks) over a month we will see a pattern begin to emerge, even when using stocks with different volatilities and different average daily volumes. Suspicious readers are encouraged to duplicate the analysis outlined above. This should convince our doubtful readers.

MULTI-ASSET CLASS INVESTING

Investing in Beta Exposure and Other Factors

Many times portfolio managers are interested in acquiring a specific market exposure, and the actual holdings in the portfolio are not as important as long as the portfolio achieves the desired exposure level. For example, managers looking to acquire exposure to the general market index—SP500—have several different investment vehicles. They could invest in the underlying stocks, they could purchase an exchange traded fund, or they could construct a portfolio comprised of futures contracts on the SP500. In all of these cases, the manager's portfolio will have the same beta exposure and the same underlying growth characteristics. Therefore, from the perspective of investor utility, portfolio managers should be indifferent as to which portfolio they actually hold.

The only difference in returns across these portfolios then should be due to the implementation cost of acquiring the asset and any corresponding